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DEFENDANTS IT ASSET PARTNERS, INC., XI WANG, AND BIXIA
LIU'S DEMURRER TO COMPLAINT

Motion filed on December 10, 2025.

MOVING PARTY: Defendants IT Asset Partners, Inc., Xi Wang,
and Bixia Liu

RESPONDING PARTY: Plaintiff Selective 21314 Lassen, LLC

NOTICE: OK.

RELIEF REQUESTED: An order sustaining the general and
special demurrers to the Complaint without leave to amend.

RULING: Demurrer sustained in part and overruled in part.

BACKGROUND

Selective 21314 Lassen, LLC (Plaintiff) filed the Complaint
on April 15, 2025, asserting causes of action for breach of commercial lease
agreement, breach of guaranty, account stated, and unjust enrichment. IT Asset

Partners, Inc., Xi Wang, and Bixia Liu (collectively, Moving Defendants) filed the demurrer on December 10, 2025. Plaintiff filed an opposition on February 13, 2026. Moving Defendants filed a reply on July 20, 2026.

LEGAL STANDARD

“[A] demurrer tests the legal sufficiency of the allegations in a complaint.” (Lewis v. Safeway, Inc. (2015) 235 Cal.App.4th 385, 388.) A demurrer can be used only to challenge defects that appear on the face of the pleading under attack or from matters outside the pleading that are judicially noticeable. (See Donabedian v. Mercury Ins. Co. (2004) 116 Cal.App.4th 968, 994 [in ruling on a demurrer, a court may not consider declarations, matters not subject to judicial notice, or documents not accepted for the truth of their contents].) For purposes of ruling on a demurrer, all facts pleaded in a complaint are assumed to be true, but the reviewing court does not assume the truth of conclusions of law. (Aubry v. Tri-City Hosp. Dist. (1992) 2 Cal.4th 962, 967.)

The face of the complaint includes exhibits attached to and incorporated into the complaint. The contents of an exhibit are accepted as true and control over inconsistent allegations concerning the exhibit’s legal effect. (Frantz v. Blackwell (1987) 189 Cal.App.3d 91, 94; Barnett v. Fireman’s Fund Ins. Co. (2001) 90 Cal.App.4th 500, 505.)

DISCUSSION

First Cause of Action: Breach of Commercial Lease Agreement

The first cause of action is alleged solely against defendant BigBattery, Inc. It is not asserted against Moving Defendants. (Compl., p. 4.) Moving Defendants concede the point in reply. (Reply, 2:2–5.) The demurrer to the first cause of action is overruled as moot.

Second Cause of Action: Breach of Guaranty

The elements of a claim for breach of guaranty are that the defendant guaranteed payment of the indebtedness of the primary obligor to the plaintiff, default on the indebtedness, notice of the default to the guarantor, and the guarantor’s failure to remit funds under the guaranty. (Torrey Pines

Bank v. Superior Court (1989) 216 Cal.App.3d 813, 819.) Guaranty contracts are construed under the same rules as other contracts, with a view to ascertaining and effectuating the intent of the parties. (River Bank America v. Diller (1995) 38 Cal.App.4th 1400, 1415.) A guarantor may validly waive rights and defenses in the guaranty contract. (Central Bldg., LLC v. Cooper (2005) 127 Cal.App.4th 1053, 1059.)

Here, paragraph 28 alleges that Moving Defendants and Clifford Eric Lundgren (Lundgren) executed the attached Guaranty of Lease to induce Plaintiff to enter the Lease and guaranteed BigBattery's obligations under the Lease. (Compl. ¶ 28, Ex. 2.) Exhibit 2 identifies Plaintiff as Lessor, BigBattery as Lessee, and Moving Defendants and Lundgren as Guarantors, and provides that the Guarantors jointly, severally, unconditionally, and irrevocably guarantee the prompt payment of all rents and other sums payable by BigBattery under the Lease. (Compl., Ex. 2.) The incorporated allegations plead BigBattery's default and allege that \$1,050,610.76 remained due after application of the \$240,000 security deposit. (Compl. ¶¶ 21-22, 24, 27.) Although the Complaint does not allege notice of default, Exhibit 2 provides that no notice of BigBattery's default need be given to the Guarantors and permits Plaintiff to proceed against them without first proceeding against BigBattery or providing prior notice or demand. (Compl., Ex. 2.)

Moving Defendants argue that the claim alleges only BigBattery's default and not the Guarantors' failure to perform. Paragraph 29 alleges that, under the Guaranty and as a result of BigBattery's default, \$1,050,610.76 plus interest is due and payable from the Guarantors. (Compl. ¶ 29.) Exhibit 2 makes the Guarantors jointly and severally liable for the guaranteed sums. Read together, these allegations sufficiently plead that the guaranteed obligation remains unpaid.

The demurrer to the second cause of action is overruled.

Third Cause of Action: Account Stated

An account stated requires that an indebtedness between the parties existed at the time of the statement, that a balance was then struck and agreed to be the correct sum owing from the debtor to the creditor, and that the debtor expressly or impliedly promised to pay the amount so determined. (Truestone, Inc. v. Simi West Industrial Park II (1984) 163 Cal.App.3d 715, 725.) Acknowledgment of the prior indebtedness supplies the

consideration for the new promise. (Block v. D. W. Nicholson Corp. (1947) 77 Cal.App.2d 739, 746.) An account stated cannot create original liability where none previously existed. (Tringali v. Vest (1951) 106 Cal.App.2d 720, 724.)

Here, Plaintiff responds that the underlying facts are supplied by incorporation at paragraph 32. (Opp. 5:7-9.) Paragraph 32 incorporates only paragraphs 1 through 26 and does not incorporate the guaranty allegations in paragraphs 27 through 31. (Compl. ¶ 32.) That omission does not defeat the claim. The Guaranty is attached as Exhibit 2 and obligates Moving Defendants to pay the rents and other sums owed by BigBattery under the Lease, which supplies the antecedent indebtedness attributed to them. (Compl. ¶ 28, Ex. 2.) Paragraph 33 separately alleges that an account was stated between Plaintiff and each defendant and that each agreed to a balance of \$1,050,610.76, and paragraph 34 alleges that the balance remains unpaid despite demand. (Compl. ¶¶ 33-34.) These allegations plead an antecedent debt, an agreed balance, an implied promise to pay, and nonpayment.

Moving Defendants argue that the Complaint does not identify when a statement was rendered, what it contained, or what words or conduct manifested assent. Paragraph 33 alleges the ultimate fact that Moving Defendants agreed to the stated balance. The additional details identified by Moving Defendants concern proof of that agreement rather than the sufficiency of the pleading.

The demurrer to the third cause of action is overruled.

Fourth Cause of Action: Unjust Enrichment

A claim labeled unjust enrichment may be construed as a quasi-contract claim seeking restitution. (Rutherford Holdings, LLC v. Plaza Del Rey (2014) 223 Cal.App.4th 221, 231.) The elements are receipt of a benefit, unjust retention of the benefit, and retention at another's expense. (Peterson v. Cellco Partnership (2008) 164 Cal.App.4th 1583, 1593.) Unjust enrichment does not lie where an express binding agreement exists and defines the parties' rights. (Cal. Medical Assn. v. Aetna U.S. Healthcare of Cal. (2001) 94 Cal.App.4th 151, 172.) Restitution may be awarded in lieu of contract damages where the express contract is unenforceable or ineffective. (McBride v. Boughton (2004) 123 Cal.App.4th 379, 388.)

Here, paragraph 35 incorporates paragraphs 1 through 26.

Paragraph 14 alleges that Defendants accepted and retained the benefits of Plaintiff's performance under the Lease. (Compl. ¶¶ 14, 35.) Paragraphs 36 and 37 allege that Moving Defendants received the benefits of Plaintiff's property and extension of credit and accepted those benefits without payment. (Compl. ¶¶ 36-37.) Paragraph 38 alleges that \$1,050,610.76 remains unpaid. (Compl. ¶ 38.) These allegations plead receipt and unjust retention of a benefit at Plaintiff's expense.

The claim nonetheless fails. The Complaint alleges that the Guaranty attached as Exhibit 2 governs Moving Defendants' liability for the same lease debt and seeks the same \$1,050,610.76 under the breach-of-guaranty and unjust-enrichment causes of action. (Compl. ¶¶ 28-31, 38, Ex. 2.) Plaintiff does not allege that the Guaranty is unenforceable or ineffective for some reason, or that the claimed benefit falls outside the rights and obligations governed by the Guaranty. The express agreement therefore precludes the quasi-contract claim as pleaded.

The demurrer to the fourth cause of action is sustained with leave to amend.

Uncertainty

A special demurrer for uncertainty lies only where the pleading is so uncertain that the defendant cannot reasonably determine what issues must be admitted or denied. (*Khoury v. Maly's of California, Inc.* (1993) 14 Cal.App.4th 612, 616.)

Here, the second cause of action identifies Moving Defendants as Guarantors and attaches the written Guaranty defining their alleged obligations. The third cause of action alleges that an account was stated between Plaintiff and each defendant and identifies the agreed balance. (Compl. ¶¶ 28-34, Ex. 2.) The use of collective allegations and the references to "Guaranties" do not prevent Moving Defendants from determining what they must admit or deny.

The demurrer for uncertainty is overruled.

Leave to Amend

Leave to amend must be allowed where there is a reasonable possibility of successful amendment. (Goodman v. Kennedy (1976) 18 Cal.3d 335, 349; Kong v. City of Hawaiian Gardens Redevelopment Agency (2002) 108 Cal.App.4th 1028, 1037.) The burden is on the complainant to show that a pleading can be amended successfully. (Blank v. Kirwan (1985) 39 Cal.3d 311, 318.)

Here, this is the first challenge to the original Complaint.

Plaintiff may be able to amend the fourth cause of action to allege that the Guaranty is unenforceable or ineffective for some reason, or that the claimed benefit is not governed by the Guaranty. (Cal. Medical Assn., supra, 94 Cal.App.4th at p. 172; McBride, supra, 123 Cal.App.4th at p. 388.) The Court therefore finds a reasonable possibility that the defect can be cured and grants leave to amend.

CONCLUSION

The demurrer to the first cause of action is overruled as moot. The demurrer to the second and third causes of action is overruled. The special demurrer for uncertainty is overruled.

The demurrer to the fourth cause of action is sustained with 20 days leave to amend.